

GUARANTY

FOR VALUE RECEIVED, and in consideration of the execution of a certain Lease of even date herewith and concurrently herewith covering certain premises in Beach Shopping Center, Peekskill, New York the creation of the tenancy under said Lease and the extension of credit by Beach Improvements Owner LLC ("Landlord") to Jos Groom Room LLC d/b/a The Bougie Poodle ("Tenant"), and for the purpose of inducing Landlord to enter into such Lease, the undersigned (individually, and collectively, "Guarantor"), jointly and severally, do hereby absolutely and unconditionally guarantee to Landlord, its successors and assigns, the full and prompt payment when due, of all rents, charges and additional sums coming due under said Lease, together with the performance of all covenants and agreements of the Tenant therein contained and together with the full and prompt payment of all damages that may arise or be incurred by Landlord in consequence of Tenant's failure to perform such covenants and agreements (all such obligations hereinafter collectively referred to as "Liabilities"), and the undersigned further agree to pay all expenses, including attorneys' fees and legal expenses, paid or incurred by Landlord in endeavoring to collect or enforce the Liabilities or any part thereof and in enforcing this Guaranty, such payment and performance to be made or performed by the undersigned forthwith upon a default by Tenant. Notwithstanding anything to the contrary herein, from and after the first (1st) day of the sixty-first (61st) full calendar month subsequent to the Rent Commencement Date of the Lease, provided Tenant is not and has not been in default (beyond any applicable periods for cure) under the Lease, Liabilities shall be limited to the aggregate of twelve (12) months' rent plus any and all expenses, including reasonable attorneys' fees and legal expenses, paid or incurred by Landlord in endeavoring to collect the Liabilities.

In the event of the death, incompetency, dissolution, bankruptcy or insolvency of Tenant, or the inability of Tenant to pay debts as they mature, or an assignment by Tenant for the benefit of creditors, or the institution of any bankruptcy or other proceedings by or against Tenant alleging that Tenant is insolvent or unable to pay debts as they mature, or Tenant's default under the Lease, and if such event shall occur at a time when any of the Liabilities may not then be due and payable, the undersigned agree to pay to Landlord upon demand, the full amount which would be payable hereunder by the undersigned if all Liabilities were then due and payable.

This Guaranty shall be an absolute, and unconditional guaranty of payment and not of collection and shall remain in full force and effect as to the undersigned during the Lease Term of said Lease, and any renewal or extension thereof, and thereafter so long as any Liabilities remain due and payable even though the Lease Term or any renewal or extension thereof shall have expired. An assignment of said Lease or any subletting thereunder shall not release or relieve the undersigned from their liability hereunder.

Landlord may, from time to time, without notice to the undersigned: (a) retain or obtain a security interest in any property to secure any of the Liabilities or any obligation hereunder, (b) retain or obtain the primary or secondary liability of any party or parties, in addition to the undersigned, with respect to any of the Liabilities, (c) extend or renew for any period (whether or not longer than the original period), alter or exchange said Lease or any of the Liabilities, (d) release, waive or compromise any liability of any of the undersigned hereunder or any liability of any other party or parties primarily or secondarily liable on any of the Liabilities, (e) release or impair any security interest or lien, if any, in all or any property securing any of the Liabilities or any obligation hereunder and permit any substitution or exchange for any such property, and (f) resort to the undersigned for payment of any of the Liabilities, whether or not Landlord shall have resorted to any property securing any of the Liabilities or any obligation hereunder or shall have proceeded against any other of the undersigned or against Tenant or any other party primarily or secondarily liable on any of the Liabilities. No such action or failure to act by Landlord shall affect the undersigned's liability hereunder in any manner whatsoever. Any amount received by Landlord from whatsoever source and applied by it toward the payment of the Liabilities shall be applied in such order of application as Landlord may from time to time elect.

To the extent allowed by applicable law, the undersigned hereby expressly waive: (a) notice of the acceptance of this Guaranty, (b) notice of the existence, creation, amount, modification, amendment, alteration or extension of the Lease or all or any of the Liabilities, whether or not such notice is required to be given to Tenant under the terms of the Lease, (c) presentment, demand, notice of dishonor, protest, and all other notices whatsoever, (d) any benefit of valuation, appraisal, homestead or other exemption law, now or hereafter in effect in any jurisdiction in which enforcement of this Guaranty is sought, and (e) all diligence in collection, perfection or protection of or realization upon the Liabilities or any thereof, any obligation hereunder, or any security for any of the foregoing.

No delay on the part of Landlord in the exercise of any right or remedy shall operate as a waiver thereof, and no final or partial exercise by Landlord of any right or remedy shall preclude other or further exercises thereof or the exercises of any other right or remedy.

The validity of this Guaranty and the obligations of the undersigned hereunder shall not be terminated, affected or impaired by reason of any action which Landlord may take or fail to take against Tenant or by reason of any failure to enforce, any of the rights or remedies reserved to Landlord in said Lease, or otherwise, or by reason of the bankruptcy or insolvency of Tenant and whether or not the term of said Lease shall terminate by reason of said bankruptcy or insolvency.

This Guaranty shall be binding upon the undersigned, and upon the heirs, legal representatives, successors and assigns of the undersigned and shall be governed by the substantive laws of the State of New York without regard to principles of conflict of laws. Guarantor waives any right to trial by jury in any action, suit or proceeding arising out of this Guaranty or the Lease.

If this Guaranty is executed by a corporation, association, partnership (general or limited), joint venture, syndicate, trust or any other type of organization other than individuals, the individual signatories hereto represent and warrant that they, and each of them, are duly authorized to execute this Guaranty for and on behalf of such organization and that such organization is the sole owner of all ownership interest in the Tenant.

No waiver by Landlord or Guarantor of any breach of any term, covenant or condition hereof shall be deemed a waiver of the same or any subsequent breach of the same or any other term, covenant or condition. No covenant, term or condition of this Guaranty shall be deemed waived by Landlord or Guarantor unless waived in writing.

There are no representations, covenants, warranties, promises, agreements, conditions or undertakings, oral or written, between Landlord and Guarantor other than herein set forth. Except as herein otherwise provided, no subsequent alteration, amendment, change or addition to this Guaranty shall be binding upon Landlord or Guarantor unless in writing and signed by them.

All notices from Guarantor to Landlord required or permitted by any provision of this Guaranty shall be directed to Landlord as follows:

Beach Improvements Owner LLC
c/o DLC Management Corporation

565 Taxter Road
Elmsford, New York 10523
Attn: General Counsel

All notices from Landlord to Guarantor required or permitted hereunder shall be directed as follows, namely:

Johanna M Vasquez Velez
921 Diven Street
Peekskill, New York 10566

Jonathan Adrian Benalcazar Quizhpi
2 Croton Dam Road
Ossining, New York 10562

All notices to be given hereunder by either party shall be written and sent by registered or certified mail, return receipt requested, postage pre-paid or by an overnight mail delivery service, addressed to the party intended to be notified at the address set forth above. Either party may, at any time, or from time to time, notify the other in writing of a substitute address for that above set forth, and thereafter notices shall be directed to such substitute address. Notice given as aforesaid shall be sufficient service thereof and shall be deemed given as of the date received, as evidenced by the return receipt of the registered or certified mail or the express delivery receipt, as the case may be.

If any provision of this Guaranty or the application thereof to any person or circumstance shall to any extent be invalid or unenforceable, the remainder of this Guaranty, or the application of such provision to persons or circumstances other than those as to which it is invalid or unenforceable, shall not be affected thereby and each provision of this Guaranty shall be valid and enforceable to the fullest extent permitted by law.

IN WITNESS WHEREOF, the undersigned have executed this instrument, or caused this instrument to be executed by its officers, duly authorized in the premises, deemed to be as of the date of the Lease.

GUARANTOR



Johanna M Vasquez Velez

921 Diven Street

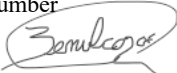
Residence Address

Peekskill, New York 10566

City, State, Zip

173-69-2468

Social Security Number



Jonathan Adrian Benalcazar Quizhpi

2 Croton Dam Road

Residence Address

Ossining, New York 10562

City, State, Zip

275-43-6451

Social Security Number